Investment Committee Simulation

Student roadmap, requirements, and approval-gate checklists

Use this PDF to organize your committee's work without scrolling through the website. Canvas remains the authority for due dates, points, and submission mechanics.

What BUS331 provides - and what your committee creates

BUS331 provides structured Excel workbooks and client data. Your committee completes the analysis, reaches its own conclusions, and creates its own final PowerPoint presentation.

Before you begin

[ ] Confirm the five committee roles and your three assigned clients.

[ ] Create a shared team workspace and agree on a file-naming system.

[ ] Read the current phase checklist together before beginning work.

[ ] Schedule a short committee meeting before each approval gate.

Phase 1 - Frame the Mandate

Establish one defensible 12-month market view and convert each assigned client profile into an approved investment mandate.

Do this in order

1. Set roles, client assignments, and the team workspace.

2. Complete the detailed macro analysis in the provided workbook: review historical evidence, form a human-first interpretation, and document sources.

3. Compare the committee view with FactSet and/or FRED evidence, then create bull, base, and bear scenarios with probabilities totaling 100%.

4. Analyze each client's goals, constraints, risk, and unresolved information gaps.

5. Translate the macro outlook into a client-specific mandate, including return target, risk limit, and drawdown tripwire.

6. Hold Gate 1: challenge the evidence, vote, and record required revisions before any portfolio construction begins.

Definition of done

[ ] The macro workbook documents historical analysis, consensus comparison, and weighted bull, base, and bear scenarios.

[ ] Each client has objectives, RRTTLLU constraints, a return target, risk limit, drawdown tripwire, and identified information gaps.

[ ] The committee can explain how its macro outlook changes each client mandate.

[ ] All five members have recorded the Gate 1 vote and any revision actions.

Required evidence

- Human-first five-year macro read with source dates
- FactSet/FRED consensus comparison and team forecast
- Bull/base/bear scenarios with probabilities totaling 100%
- RRTTLLU analysis for all three assigned clients
- Return target, maximum volatility, and drawdown tripwire for each client
- Analyst Decision Log showing initial judgment, committee challenge, verification, final reasoning, and downstream guardrail
- Phase 1 decision record signed by all five members

Team deliverables

- Completed macro starter workbook
- Completed Analyst Decision Log for all three assigned clients
- Three completed client IPS documents
- One-page committee mandate memo
- Phase 1 decision record

Client-discovery activity

First observe the instructor-led practice interview. Then open only your team's role-play page. For each assigned client, one designated member receives a sealed client card while the other members ask their own neutral questions. Rotate the client role across the three cases.

The client reveals only what the sealed card establishes. If a fact is not established, record an information gap. After each interview, write a concise summary, the provisional guardrails, and the downstream decision each guardrail could affect in the Analyst Decision Log. No AI prompt or student AI account is required for this activity.

Canvas submission check

[ ] Scenario probabilities total 100% and every macro claim has a source and as-of date.

[ ] Each client has an objective, RRTTLLU constraints, return target, volatility limit, drawdown tripwire, and unresolved information gaps.

[ ] The Decision Record shows initial judgment, committee challenge, human verification, final reasoning, downstream guardrail, owner, and peer reviewer.

[ ] All five members recorded the Phase 1 vote and any revision action.

Phase 2 - Build & Challenge

Translate the approved allocation and client mandate into a focused portfolio, select funds and ETFs as the primary vehicles, limit individual securities, resolve portfolio trade-offs, and document stress-tested residual risk and a hedge or no-hedge conclusion.

Do this in order

1. Reopen the approved client mandate before researching investments.

2. Use the structured workbooks to develop capital-market expectations and draft allocations.

3. Translate each approved allocation and client mandate into a candidate set, then compare serious alternatives against client guardrails.

4. Select 8–10 final holdings per portfolio, never more than 10, using funds and ETFs as the primary vehicles; limit individual securities to two or three total and add at most one targeted derivative hedge only when justified.

5. Build the proposed portfolios, identify the purpose and concise scorecard for every final holding, resolve overlap and concentration, and submit the locked baseline snapshot before the Scenario Reveal.

6. After the instructor releases the client-specific Scenario Reveal, apply its exact inputs, identify the client consequence, correct the required breach, and re-test.

7. Hold Gate 2: approve, revise, or reject each client portfolio and record the decision.

Definition of done

[ ] Each client portfolio traces back to an approved mandate and has a stated purpose for every holding.

[ ] Each portfolio has 8–10 final holdings, never more than 10, with no requirement to fill every slot; funds and ETFs are the primary vehicles and individual securities are limited to two or three total.

[ ] Every final holding has a concise scorecard, rejected alternatives have a concise comparison, and the team has resolved unnecessary overlap or concentration.

[ ] Any derivative hedge is limited to one targeted residual risk and documents instrument, size, cost, liquidity, trade-offs, residual risk, and adjustment or removal condition; a supported no-hedge conclusion is equally complete.

[ ] The baseline snapshot was submitted before the Scenario Reveal; each revealed-scenario breach has a documented corrective trade, trade-off, and full re-test.

[ ] All five members have recorded the Gate 2 vote and any revision actions.

Required evidence

- Base and bear CME inputs with cited rationale

- Solver output and constraint checks for each client

- Focused candidate set translated from the approved allocation and client mandate

- Final portfolio of 8–10 holdings, never more than 10, using funds and ETFs as the primary vehicles and no more than two or three individual securities

- Concise final-holding scorecards covering exposure/role, cost and trading expenses, liquidity, holdings/sector/style overlap, diversification contribution, key risks, and client-mandate fit

- Added rationale, idiosyncratic-risk, and position-size evidence for every individual security; individual bonds are not required

- Concise comparisons and rejection reasons for realistic alternatives without full analysis of every screened name

- Issuer Reality Check for every direct individual security and only material look-through issuer exposures within selected funds or ETFs

- FactSet Research and Evidence Log for every recommended security and material portfolio-risk input

- Integrated allocation with a purpose, owner, Phase 1 guardrail, risk contribution, and monitoring trigger for every holding, plus the Portfolio Manager's overlap, concentration, final-weight, and trade-off decisions

- Portfolio-level stress tests and the Risk and Derivatives Analyst's residual-risk evidence

- Supported no-hedge conclusion or one targeted derivative hedge with risk, instrument, size, cost, liquidity, trade-offs, residual risk, and adjustment/removal condition

- Locked baseline snapshot and instructor-issued Scenario Reveal log for every client

- Full IPS compliance scorecard and Scenario Reveal result against each approved tripwire and relevant constraint

- Before/after record, trade-off, and full re-test for every corrective trade

- AI audit entries linked to human verification

- Phase 2 decision record signed by all five members

Team deliverables

- Completed CME workbook

- Completed final-holding scorecards, concise alternative decisions, and fixed-income/equity selection record

- Baseline snapshot plus completed Scenario Reveal, remediation, IPS compliance, and re-test record

- Phase 2 decision record with client-by-client votes

Worksheet research guide

Before you select or reject a candidate, open the Research Guide tab in the security-selection workbook. The workbook tells you what to investigate for direct bonds, equities, mutual funds, and ETFs; your committee supplies the research, calculations, judgment, and decision.

Translate the approved allocation and mandate into a candidate set. Build 8-10 final holdings per client and never more than 10; eight is complete. Funds and ETFs are primary, individual securities total no more than two or three, and individual bonds are not required.

Complete the concise scorecard for every final holding: exposure and role, cost and trading expenses, liquidity, holdings/sector/style overlap, diversification contribution, key risks, and client fit. Add rationale, idiosyncratic risk, and position-size evidence for individual securities. Reject realistic alternatives briefly rather than fully analyzing every screened name.

The Portfolio Manager resolves overlap, concentration, final selection, weights, and explicit trade-offs. The Risk and Derivatives Analyst runs portfolio-level stress tests and records residual risk plus either one targeted hedge or a supported no-hedge conclusion.

Scenario Reveal and required remediation

First submit the baseline allocation, IPS scorecard, and initial stress result at the instructor-designated checkpoint. Keep that baseline record unchanged after the Scenario Reveal is released.

After release, record the packet ID, date, named client condition tested, and exact inputs in the Scenario Reveal workbook tab. Apply the released inputs without changing the client mandate or tripwire; quantify the percentage and dollar impact and identify the exposed client goal or constraint.

For every Breach, make a real security, sleeve, or weight change, explain the trade-off, and re-run the complete scenario and IPS scorecard. If a released case unexpectedly passes, report it to the instructor rather than using the result to skip the checkpoint.

Canvas submission check

[ ] Each client portfolio contains 8–10 holdings and never more than 10; funds and ETFs are primary, individual securities total no more than two or three, and no slot is filled without a purpose.

[ ] Every final holding has the concise scorecard, realistic alternatives are rejected briefly, and direct individual securities include rationale, idiosyncratic-risk, and position-size evidence.

[ ] The Portfolio Manager recorded overlap, concentration, final-selection, weight, and trade-off decisions; the Risk and Derivatives Analyst recorded residual risk and a supported hedge or no-hedge conclusion.

[ ] The baseline snapshot was submitted before the Scenario Reveal; every client allocation totals 100%, all IPS objectives and constraints were re-tested, and every revealed breach has a corrective trade and full re-test.

[ ] All five members recorded the Phase 2 vote and can identify their recommendation, alternative rejected, key trade-off, and evidence reviewed.

Phase 3 - Defend the Recommendation

Integrate the committee's work into a concise decision package and defend the client recommendations before an investment-committee panel.

Do this in order

1. Convert approved analysis into a clear committee recommendation for each client.
2. Create the decision memo and technical evidence package.
3. Design and build the committee's own visual PowerPoint presentation.
4. Rehearse cross-functional questions and the strongest trade-offs.
5. Hold Gate 3, submit the required package in Canvas, and defend the recommendation.

Definition of done

[ ] The memo, evidence package, and presentation tell one consistent recommendation story.

[ ] A reviewer can trace each major claim to evidence.

[ ] Every member has rehearsed and can defend both owned work and the integrated decision.

[ ] The team has checked Canvas for the correct required files and deadline.

Required evidence

- Executive recommendation and decision memo
- Technical exhibit book linking macro, mandate, allocation, securities, and risk
- Client-specific recommendation for all three assigned clients
- Final decision record with vote, reservations, and implementation actions
- Visual oral presentation with balanced speaking time and a compact investment-committee defense
- Role-specific evidence and targeted-question preparation for all five seats
- Cross-functional Q&A preparation

Team deliverables

- Final committee decision memo
- Technical exhibit book or dossier
- Oral presentation
- Final decision record and AI audit appendix

Canvas submission check

[ ] The memo, dossier, presentation, and decision record state the same allocations, securities, and monitoring actions.

[ ] Every recommendation traces backward to a Phase 1 client guardrail and forward to a monitoring trigger.

[ ] Every material number has a source, definition, unit, as-of date, interpretation, and limitation.

[ ] Each member can defend role-specific evidence, the Decision Log contribution, one rejected alternative and key trade-off, and answer targeted questions within the compact committee defense.

Committee roles and operating protocol

Roles identify distinct decision rights. All 5 members review the full evidence package, vote at every gate, and prepare to defend the complete recommendation.

Client and Macro Strategist

Own client discovery, the 12-month market view, IPS objectives and constraints, and the handoff from client needs to investment criteria.

Fixed-Income Analyst

Own the income, capital-preservation, maturity, duration, credit-quality, liquidity, and tax questions that shape the fixed-income sleeve.

Equity Analyst

Own equity-fund and ETF due diligence and the limited use of individual equities, including exposure, style, sector, holdings, costs, liquidity, overlap, idiosyncratic risk, and position-size evidence.

Portfolio Manager

Own portfolio integration: resolve overlap and concentration, set final selection and weights, record explicit trade-offs, maintain decision-log quality, and move the integrated recommendation to a vote.

Risk and Derivatives Analyst

Own portfolio-level risk diagnosis, stress testing, residual-risk evidence, mandate-breach escalation, and the hedge or no-hedge conclusion; do not manufacture a derivative position when no targeted hedge is justified.

AI rules of engagement

Permitted: Logic, debugging & challenge - Use AI to explain formulas, test reasoning, generate counterarguments, or surface missing risks.

Verify before use: Summaries, scenarios & estimates - Cross-check every factual claim and number against FactSet, FRED, SEC filings, or the team's workbook.

Not acceptable: Unverified decisions - Do not submit AI-generated allocations, risk metrics, citations, or client recommendations without human verification.